

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-07

Impact Products, LLC *et al.* v. CMA CGM S.A.

**RESPONDENT CMA CGM S.A.'S
SUPPLEMENTAL MOTION TO DISMISS**

Respondent CMA CGM S.A. (“Respondent” or “CMA”), by counsel, pursuant to 46 C.F.R. 502.69, 502.70, and 502.72(b), in addition to the grounds in its previous Motion to Dismiss (FMC Doc. 17), moves to dismiss with prejudice the Complaint filed by Impact Products, LLC and Safety Zone, LLC (“Complainants”) because (1) bankruptcy law prohibits further prosecution of this case; and (2) Complainants failed to file an opening brief, findings of fact, or appendix as required under the Revised Scheduling Order.

Under settled bankruptcy law, a debtor is estopped from prosecuting claims that it failed to disclose as assets in its bankruptcy case. Complainants here filed bankruptcy *after* they initiated this proceeding, but did not disclose this case amongst their assets as required by 11 U.S.C. § 521. In fact, because of their non-disclosure, they also never received bankruptcy court approval to prosecute this case. This double failure requires dismissal of their claims under the doctrine of judicial estoppel, and because a sale of their assets has already been approved without the required disclosures, that failure is not curable now.

Aside from the fatal bankruptcy problems, Complainants also failed to meet the deadline to file their opening brief. Under the Revised Scheduling Order, they were required to file their opening brief, findings of fact, and appendix by September 4, 2024. They did not do so, apparently

relying on a Motion to Compel as their excuse. Yet the Scheduling Order is clear: “*Motions and settlement discussions will not automatically stay other deadlines in the proceeding.*” FMC Doc. 10 (emphasis added). Complainants should have filed their pleadings and, if needed, reserved the right to supplement. Instead, they filed nothing, and their case should be dismissed.

TABLE OF CONTENTS

PROCEDURAL BACKGROUND.....	3
I. Complainants’ Chapter 11 bankruptcy proceeding.....	3
II. Complainants’ obligations in this proceeding.....	5
STANDARD OF REVIEW	5
ARGUMENT.....	6
I. Complainants’ case should be dismissed as precluded under bankruptcy law.....	6
A. Complainants’ failure to disclose this FMC proceeding in their bankruptcy case is fatal to their claims.....	6
B. Complainants’ failure to obtain approval from the Bankruptcy Court precludes further prosecution of this case.....	10
C. Complainants did not disclose the assignment on which they rely either.	10
II. Complainants’ case should be dismissed for failure to comply with the Rules and Revised Scheduling Order.	11
CONCLUSION.....	12
CERTIFICATE OF SERVICE.....	12

PROCEDURAL BACKGROUND

I. Complainants' Chapter 11 bankruptcy proceeding.

Complainants filed their Complaint in this case on February 14, 2024, asserting violations of the Shipping Act. *See* FMC Doc. 1. On May 21, 2024, Complainants also filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055 (Bankr. Del. May 21, 2023). The Bankruptcy Court then consolidated the bankruptcies of Impact Products, LLC and Safety Zone, LLC with their parent company, Supply Source Enterprises. To date, Complainants have never provided notice of their bankruptcy to the FMC in this proceeding, save for a single footnote in a recent Motion to Compel.

In the bankruptcy case, Complainants filed a number of schedules and statements on which they were required by law to list all their assets and liabilities. *See* Schedule for Supply Source, Doc. 156 (**Exhibit 1**); Schedule for Impact Products, Doc. 159 (**Exhibit 2**); Schedule for Safety Zone, Doc. 160 (**Exhibit 3**); Statement of Financial Affairs for Supply Source, Doc. 161 (**Exhibit 4**); Statement of Financial Affairs for Impact Products, Doc. 164 (**Exhibit 5**); Statement of Financial Affairs for the Safety Zone, Doc. 165 (**Exhibit 6**). Complainants prepared these disclosures knowing that creditors and the court would rely on them.

On June 20, 2024, the Bankruptcy Court entered an Order approving a Motion for the Sale of Assets, setting procedures and deadlines for selling all Complainants' assets with a stalking horse bidder identified as TZ SSE Buyer, LLC ("TZ SSE"). *See* June 20, 2024 Order, Doc. 173 (**Exhibit 7**).¹

¹ Complainants mistakenly assert in a footnote in their Motion to Compel that this asset sale included the claims at issue here, without pointing to any support for the statement. *See* Motion to Compel, n.1 ("TZ SSE Buyer, LLC, a Delaware limited liability company, is now the owner of all of Complainants' assets (as of July 19, 2024), *including the claims at issue in this proceeding*"). To the contrary, as shown in the schedules as excerpted below, Complainants never disclosed this action as an asset, nor any of their other pending FMC cases.

On July 10, 2024, the Bankruptcy Court entered an Order Approving Sale of Assets, which approved the sale of assets to TZ SSE on the terms in the previous Order. *See* July 10, 2024 Order, Doc. 222 (**Exhibit 8**); *see also* May 22, 2024 Motion to Approve Sale, Doc. 16 (**Exhibit 9**). Critically, however, because the FMC cases were not identified in Complainants’ schedules, *Complainants’ assets were sold without any FMC claims included*. And because Complainants seek millions at the FMC in their multiple cases, had they properly disclosed those claims, TZ SSE presumably would have had to bid higher on the sale, leaving more money for creditors.²

Upon learning of the bankruptcy case, CMA attempted to obtain further information. Since cases pursued by a bankrupt debtor must first be approved by a bankruptcy court, including the counsel and terms for pursuing them, on a call on August 1, 2024, CMA’s counsel inquired about Complainants’ authority to prosecute this case. Complainants promised to provide information, but never did so. On August 28, 2024, CMA’s counsel sent a letter to Complainants requesting a copy of the Bankruptcy Court’s approval of their ability to pursue this litigation. *See* Aug. 28, 2024 Letter (**Exhibit 10**). CMA’s counsel followed up by email on September 5, 2024. *See* Sept. 5, 2024 Email (**Exhibit 11**). As of this date, Complainants have never responded.

In fact, Complainants’ silence is not limited to this proceeding, as evidenced by a motion filed by respondents in another of Complainants’ cases in the FMC. *See Impact Products LLC et al. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, No. 24-08 (FMC 2024), Doc. 18 (**Exhibit 12**) (stating respondents inquired about the bankruptcy case, “but have heard nothing but radio silence”).

² The Order Approving Sale of Assets approves only the sale of assets disclosed in the corresponding motion. *See Exhibits 8 and 9*. The Motion to Approve Sale contains an Asset Purchase Agreement with TZ SSE, but the APA does not identify this FMC action, nor could it, since Complainants identified only those actions that were in their bankruptcy schedules. *See Exhibits 1-6*.

II. Complainants' obligations in this proceeding.

At the same their bankruptcy case has proceeded with no mention of the FMC, this case has proceeded with no proof of Shipping Act violations. When Complainants initiated this action on February 14, 2024, they presumably had some *perceived* factual basis to do so, although to date they have not disclosed it.³

On February 29, 2024, the FMC issued its Initial Order, setting forth procedural instructions for both parties. FMC Doc. 6. Subsequently, on March 25, 2024, the FMC issued a Scheduling Order establishing deadlines for discovery and briefing. FMC Doc. 10.

On August 5, 2024, the FMC issued a Revised Scheduling Order that extended discovery deadlines but left the briefing schedule unchanged. FMC Doc. 15. Despite this accommodation, on August 30, 2024, just days before their briefing deadline, Complainants filed an Opposed Motion to Compel and Motion for Extension, citing alleged production deficiencies (copies apparently cut-off, which have been reproduced), seeking to take a corporate deposition (despite failing to show they are authorized by the Bankruptcy Court to do so), and seeking to extend deadlines for discovery and briefing. FMC Doc. 18.

On September 4, 2024 (the deadline for Complainants' opening brief), Complainants filed nothing—not a brief and findings with a reservation of the right to supplement, but nothing. As of the date of this filing, they still have filed nothing to support their claims.

STANDARD OF REVIEW

Under 46 C.F.R. 502.69(a), a party may file a dispositive motion anytime “[a]fter the assignment of a presiding officer to a proceeding and before the issuance of his or her

³ Plaintiffs have disclosed only a single misplaced expert report that attempts to compare swaths of particularized charges in this case to irrelevant worldwide averages on a website. *See* Motion to Exclude Expert (FMC Doc. 20).

recommended or initial decision. . .” A motion must “state clearly and concisely the purpose of and the relief sought by the motion, the statutory and principal authority relied upon, and the facts claimed to constitute the grounds supporting the relief requested.” 46 C.F.R. 502.69(e).

Under the Commission’s rules of procedure, “dispositive motion means a motion for decision on the pleadings; motion for summary decision or partial summary decision; motion to dismiss all or part of a proceeding or party to a proceeding; motion for involuntary dismissal; motion for initial decision on default; or any other motion for a final determination of all or part of a proceeding.” 46 C.F.R. 502.69(g). A dispositive motion must “include a concise statement of the legal basis of the motion with citation to legal authority and a statement of material facts with exhibits as appropriate.” 46 C.F.R. 502.70. Moreover, 46 C.F.R. § 502.72(b) allows a respondent to move for dismissal “[i]f the complainant fails to prosecute or to comply with these rules or an order in the proceeding.” Such a dismissal “operates as an adjudication on the merits.” *Id.*

ARGUMENT

I. Complainants’ case should be dismissed as precluded under bankruptcy law.

A. Complainants’ failure to disclose this FMC proceeding in their bankruptcy case is fatal to their claims.

The Bankruptcy Code outlines a non-exhaustive list of debtor duties in a bankruptcy case. 11 U.S.C. § 521. Among these duties, the Bankruptcy Code requires that a debtor list potential causes of action including “any litigation likely to arise in a non-bankruptcy context.” 11 U.S.C. § 521; *Krystal Cadillac-Oldsmobile GMC Truck, Inc. v. GMC*, 337 F.3d 314, 322 (3d Cir.2003). Courts have consistently dismissed claims by plaintiffs who failed to disclose those claims in bankruptcy proceedings. *See, e.g., Payless Wholesale Distributors, Inc. v. Alberto Culver (P.R.) Inc.*, 989 F.2d 570, 571 (1st Cir.1993); *Oneida Motor Freight, Inc. v. United Jersey Bank*, 848 F.2d 414, 415 (3d Cir.1988). In fact, “every circuit that has addressed the issue has found that judicial

estoppel is justified to bar a debtor from pursuing a cause of action in district court where that debtor deliberately fails to disclose the pending suit in a bankruptcy case.” *Moses v. Howard Univ. Hosp.*, 606 F.3d 789, 798 (D.C. Cir. 2010).

Examples are replete in the case law. For instance, in *Payless Wholesale Distributors, Inc. v. Alberto Culver (P.R.) Inc.*, the court judicially estopped a debtor from asserting monetary claims that were omitted from the schedules in the debtor’s Chapter 11 petition. 989 F.2d 570, 571 (1st Cir. 1993). Likewise, in *Oneida Motor Freight, Inc. v. United Jersey Bank*, the court affirmed an order dismissing an appellant’s contract and tort claims because the appellant failed to disclose them in a bankruptcy proceeding. 848 F.2d 414, 415 (3d Cir.1988). As the Third Circuit explained in *Oneida*, “a debtor must disclose any litigation likely to arise in a non-bankruptcy contest. The result of a failure to disclose such claims triggers application of the doctrine of equitable estoppel, operating against a subsequent attempt to prosecute the actions.” *Id.*

The reason for dismissal is grounded in both law and policy. *See Payless*, 989 F.2d at 571. A debtor that fails to disclose claims as assets in a bankruptcy case not only violates the disclosure requirements of the Bankruptcy Code, but deprives creditors in the bankruptcy case of access to those assets. As the Third Circuit stated, “A long-standing tenet of bankruptcy law requires one seeking benefits under its terms to satisfy a companion duty to schedule, for the benefit of creditors, all his interests and property rights.” *Oneida*, 848 F.2d at 416. “Disclosure is important ... not only to the bank as an adversary and as a creditor, but to the other creditors and to the bankruptcy court.” *Id.* at 417. Complainants’ non-disclosure here, for example, diminished their apparent assets in advance of the bankruptcy auction, presumably also diminishing bids and the number of likely bidders.

What is more, because Complainants filed this case just months before they filed their bankruptcy case, they were unquestionably aware of their claims in the FMC when creating their bankruptcy schedules. Yet the schedules contain no mention of this case or any other FMC case. *See* Bankruptcy Schedules (**Exhibits 1-6**) (Schedule A/B Part 11: All Other Assets & Form 207 Part 3: Legal Actions or Assignments). In fact, the omissions appear on the face of the documents, where Complainants identified non-FMC cases but did not identify any FMC cases:

Exhibit 1, Doc. 156:

74. Causes of action against third parties (whether or not a lawsuit has been filed)			
74.1	Lawsuit		\$ Undetermined
	Nature of claim	Breach of restrictive covenants	
	Amount requested	\$ Undetermined	
75. Other contingent and unliquidated claims or causes of action of every nature, including counterclaims of the debtor and rights to set off claims			
75.1	None		\$
	Nature of claim		
	Amount requested	\$	

Exhibit 2, Doc. 159:

74. Causes of action against third parties (whether or not a lawsuit has been filed)			
74.1	None		\$
	Nature of claim		
	Amount requested	\$	
75. Other contingent and unliquidated claims or causes of action of every nature, including counterclaims of the debtor and rights to set off claims			
75.1	None		\$
	Nature of claim		
	Amount requested	\$	

Exhibit 3, Doc. 160:

74. Causes of action against third parties (whether or not a lawsuit has been filed)			
74.1	None		\$
	Nature of claim		
	Amount requested	\$	
75. Other contingent and unliquidated claims or causes of action of every nature, including counterclaims of the debtor and rights to set off claims			
75.1	None		\$
	Nature of claim		
	Amount requested	\$	

Exhibit 4, Doc. 161:

Part 3: Legal Actions or Assignments			
7. Legal actions, administrative proceedings, court actions, executions, attachments, or governmental audits List the legal actions, proceedings, investigations, arbitrations, mediations, and audits by federal or state agencies in which the debtor was involved in any capacity—within 1 year before filing this case.			
☐ None			
Case title	Nature of case	Court or agency's name and address	Status of case
SSE Parent, LP and Supply Sources		United States District Court District of Delaware	☒ Pending
7.1 Enterprises, Inc. v. Paul Haddad an Access Partners, Inc.	Breach of restrictive covenants	Name	☐ On appeal
		844 N. King Street	☐ Concluded
		Street	
Case number			
1:99-mc-09999		Wilmington DE 19895	
		City State ZIP Code	

Exhibit 5, Doc. 164:

Part 3: Legal Actions or Assignments			
7. Legal actions, administrative proceedings, court actions, executions, attachments, or governmental audits List the legal actions, proceedings, investigations, arbitrations, mediations, and audits by federal or state agencies in which the debtor was involved in any capacity—within 1 year before filing this case.			
☐ None			
Case title	Nature of case	Court or agency's name and address	Status of case
B&B Molded Products, Inc. v. Impact Products, LLC	Outstanding and overdue balances	Lucas County Common Pleas Court, Lucas County, Ohio	☒ Pending
		Name	☐ On appeal
		700 Adams St.	☐ Concluded
		Street	
Case number			
G-4801-CI-0202402467-000		Toledo OH 43604	
		City State ZIP Code	
		Country	
7.2 Fresh Products, Inc., vs. Impact Products, LLC	IP, Trade Dress, etc. Infringement	United States District Court For The Northern District Of Ohio Western Division	☐ Pending
		Name	☐ On appeal
		801 West Superior Avenue	☒ Concluded
		Street	
Case number			
3:19-cv-02109-JZ		Cleveland OH 44113	
		City State ZIP Code	

Exhibit 6, Doc. 165:

Part 3: Legal Actions or Assignments			
7. Legal actions, administrative proceedings, court actions, executions, attachments, or governmental audits List the legal actions, proceedings, investigations, arbitrations, mediations, and audits by federal or state agencies in which the debtor was involved in any capacity—within 1 year before filing this case.			
☒ None			
Case title	Nature of case	Court or agency's name and address	Status of case
7.1		Name	☐ Pending
			☐ On appeal
		Street	☐ Concluded
Case number			
		City State ZIP Code	

This non-disclosure alone is grounds for dismissal under the doctrine of judicial estoppel. And because the sale of Complainants' assets has already been approved in the Bankruptcy Court without the required disclosures, that failure is not curable now.

B. Complainants' failure to obtain approval from the Bankruptcy Court precludes further prosecution of this case.

Compounding the non-disclosure, however, is the fact that Complainants also appear to have never received authority to prosecute this case (or any of their FMC cases) in the Bankruptcy Court as required under 11 U.S.C. § 327 and 11 U.S.C. § 1107. Section 327 of the Bankruptcy Code requires that a bankruptcy trustee obtain court approval before employing professional persons to represent a debtor, including for outside litigation. Under 11 U.S.C. § 329, attorneys representing a debtor must also file certain statements concerning their compensation and services with the bankruptcy court. And under 11 U.S.C. § 1107, any duty imposed on a trustee under the Bankruptcy Code is also a duty of the debtor-in-possession in a Chapter 11 bankruptcy.

As noted above, CMA's counsel has repeatedly asked Complainants' counsel to provide evidence of the Bankruptcy Court's approval of their engagement, as well as approval to prosecute this case. To date, it appears the Bankruptcy Court has not provided that authority. Without that authority, this case cannot go forward.

C. Complainants did not disclose the assignment on which they rely either.

Like the other non-disclosures, Complainants also failed to disclose the assignment on which they relied in other cases to save their Shipping Act claims. As explained in CMA's first Motion to Dismiss, Complainants' claims in this case are barred by the direct purchaser rule, and their purported assignment is invalid. Bankruptcy law strengthens that argument, since the assignment was also not disclosed to or approved by the Bankruptcy Court. *See Exhibits 1-6* (excerpted above); *see also* 11 U.S.C. § 521.

II. Complainants' case should be dismissed for failure to comply with the Rules and Revised Scheduling Order.

Independent of the bankruptcy problems, this case also should be dismissed due to Complainants' failure to comply with the FMC's Rules of Practice and Procedure and the Revised Scheduling Order. Complainants failed to submit their required filings by the September 4, 2024 deadline, warranting dismissal with prejudice under 46 C.F.R. 502.72.

The Initial Order here mandates strict compliance with the FMC's Rules of Practice and Procedure, codified in 46 C.F.R. 502. *See* FMC Doc. 6. Under these rules, “[i]f the complainant fails to prosecute or to comply with these rules or an order in the proceeding, a respondent may move to dismiss the action or any claim against it, or the presiding officer, after notice to the parties, may dismiss the proceeding on its own motion.” 46 C.F.R. 502.72(b).

In this case, while Complainants filed a Motion for Extension on August 30, 2024, requesting additional time to submit their brief, that motion does not excuse their total failure to file anything to support their claims. Indeed, nothing in the motion, even if accurate, justifies a complete failure to file. As the Scheduling Order states: “[*m*]otions and settlement discussions will not automatically stay other deadlines in the proceeding.” FMC Doc. 10 (emphasis added). Thus, the September 4, 2024 deadline remains fully in effect.

Complainants filed this proceeding. They were required to have a legal and factual basis for doing so—one that did not depend on facts they might possibly discover later. They were further obligated to meet their filing deadline on September 4, 2024 with the facts they had (if any) and, if needed, seek leave to supplement. They filed nothing. As a result, under the Rules and Revised Scheduling Order, their Complaint should be dismissed with prejudice.

CONCLUSION

For all these reasons, CMA respectfully requests that the Commission dismiss the Complaint in this case with prejudice.

Dated: September 9, 2024

Respectfully submitted,

/s/ W. Ryan Snow

W. Ryan Snow, Esquire (VSB 47423)
K. Barrett Luxhoj, Esquire (VSB 86302)
CRENSHAW, WARE & MARTIN, PLC
150 West Main Street, Suite 1923
Norfolk, Virginia 23510
Telephone: (757) 623-3000
wrsnow@cwm-law.com
kbluxhoj@cwm-law.com

B. Jason Barlow (VSB No. 80105)
C. Wiley Grandy (VSB No. 82154)
Chelsea C. Crews (La. Bar No. 38176)
1 CMA CGM Way
Norfolk, VA 23502
orf.jbarlow@cma-cgm.com
orf.wgrandy@cma-cgm.com
orf.ccrews@cma-cgm.com
Counsel for Respondent CMA CGM S.A.

CERTIFICATE OF SERVICE

I certify that on the 9th day of September 2024, a true copy of the foregoing was served by electronic mail on all counsel of record as follows:

Timothy R. Hermana
R. Kevin Williams
Clark Hill PLC
130 E. Randolph Street, Suite 3900
Chicago, IL 60601
therman@clarkhill.com
kwilliams@clarkhill.com
Counsel for Complainants

/s/ W. Ryan Snow